

failure is when price starts out in the correct direction but falters (rising by no more than 5%), turns around, and heads back down.

In this example, the two downward price spikes look good in that they are tall and with good overlap. They form as part of a retrace from the November high, and price usually returns to form a second high (a double top), or perhaps move even higher. If you believe that this stock will form a second top, then the horn is probably not worth betting on because the price appreciation potential is just not exciting (to me, anyway).

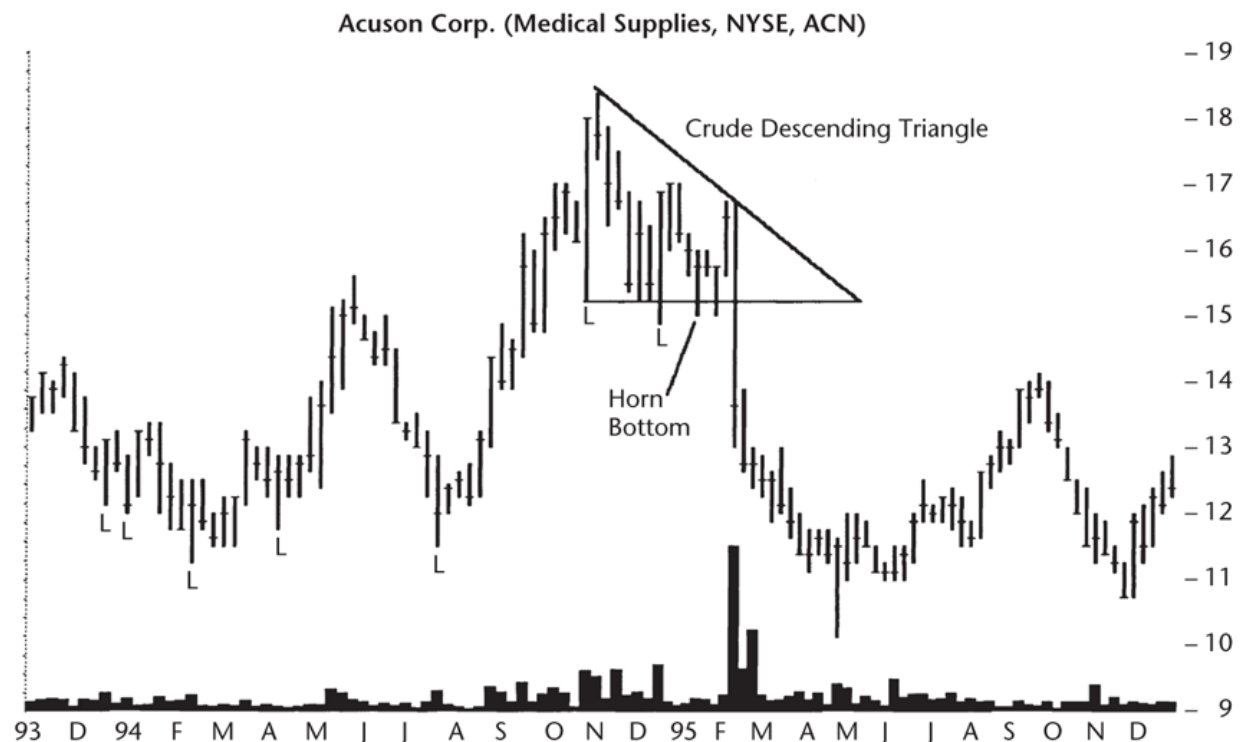


Figure 43.3 A horn bottom failure. Among other clues, similar-height price spikes (marked L) suggest this horn might be suspect. The descending triangle suggests a downward move.

Also, I have found that when a bullish pattern (like the horn) appears at the end of a long peak where price moves horizontally (as it does from November to the horn), forming a flat bottom or a block of horizontal price movement, many bullish chart patterns will fail. So the setup for the horn is bad right from the start.

If you take a wider view of this chart, you might suspect that it will form a head-and-shoulders top. The left shoulder is already visible in late May 1994, and another shoulder could form as part of a mirror image, probably